GCE AS

WJEC/EDUQAS

B520U20-1 (Practice Paper 1 - Moderate)

ECONOMICS – AS component 2

Exploring Economic Issues

2 hours

ADDITIONAL MATERIALS

In addition to this examination paper, you will need a calculator and a WJEC pink 16-page answer booklet.

INSTRUCTIONS TO CANDIDATES

Use black ink or black ball-point pen.
You may use a pencil for graphs and diagrams only.
Answer **all** questions.
Write your answers in the separate answer booklet provided.

INFORMATION FOR CANDIDATES

The number of marks is given in brackets at the end of each question or part-question.
You are reminded of the necessity for good English and orderly presentation in your answers.

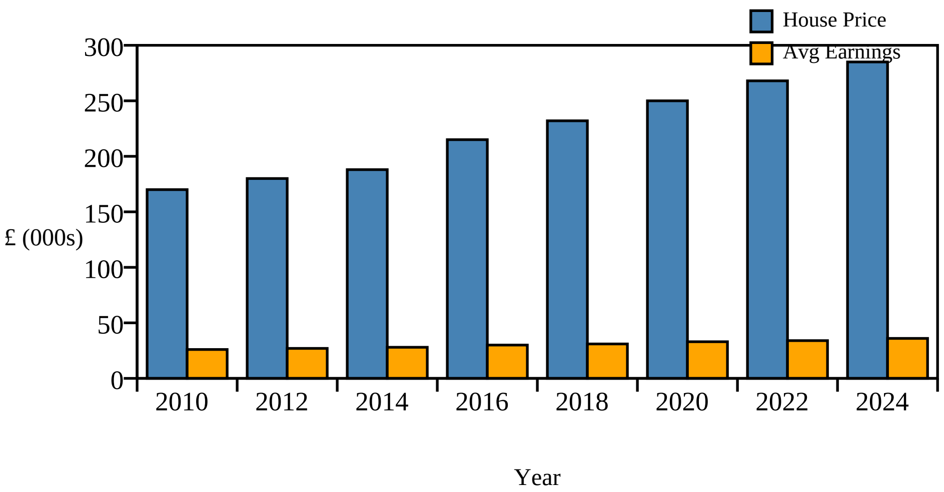
Answer **all** questions.

1. Britain's Housing Crisis

The UK has been suffering from a long-running housing crisis. House prices have risen significantly faster than wages over the past two decades, making homeownership increasingly unaffordable for first-time buyers. The average UK house price reached £285,000 in 2024, with the average house price-to-earnings ratio at 8.6 times average annual income, compared to 4 times in the early 2000s.

In response, the UK government has set an ambitious target of building 1.5 million new homes over five years. To support this target, the government has announced planning reform, releasing parts of the 'grey belt' (low-quality green belt land) for development, and a £5bn investment programme for affordable housing. The Help to Buy scheme was used previously as a demand-side intervention to subsidise first-time buyers.

Figure 1: UK Average House Price vs Average Annual Earnings (2010–2024)



The £5bn investment is expected to generate significant economic impacts beyond simply providing homes. Construction creates jobs, increases demand for raw materials, and supports related industries. The government hopes these effects will create a positive multiplier effect throughout the wider economy. However, critics warn that increasing supply alone may not solve affordability without further interventions such as rent controls or stricter mortgage regulation.

Table 1: Estimated impacts of the £5bn housing investment programme

	Estimated Impact
Estimated net economic benefit (jobs, output, GVA over 10 years)	£18bn
Direct construction jobs supported	85,000
Indirect jobs (suppliers, services)	120,000
Contracts awarded to UK businesses	92%
Suppliers that are small or medium-sized businesses	70%
Affordable homes expected to be built	180,000

Source: Adapted from HM Treasury and ONS data

Although the new investment is welcomed by many, environmental campaigners have raised concerns about the loss of green belt land and the increased pressure on local infrastructure such as schools, roads and NHS services in areas where significant new development is planned.

(a) Using a diagram, outline the likely impact of increased migration on the UK housing market. **[4]**

(b) Discuss the likely price elasticity of demand for new-build homes in the UK. **[6]**

(c) Using **Table 1**, explain how the government's £5bn housing investment programme can lead to the benefits of the multiplier effect (line 14). **[6]**

(d) Evaluate whether building more homes is better than introducing rent controls to reduce market failure in the UK housing market. **[10]**

(e) (i) Define the term 'merit good' and explain why housing could be considered a merit good. **[4]**

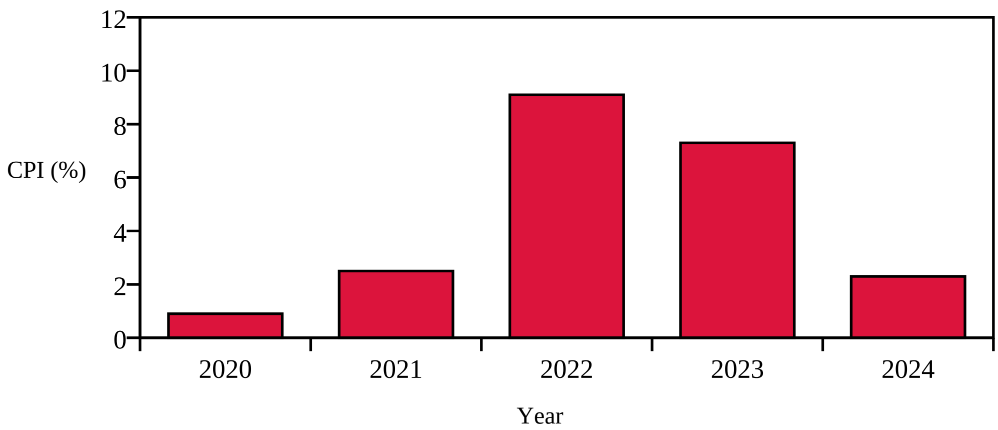
(ii) Using the data, assess the extent to which increased government investment in housing would be positive for the short run and long run macroeconomic performance of the UK. **[10]**

2. The UK Cost of Living Crisis

Between 2021 and 2023, the UK experienced its worst cost of living crisis in a generation. Inflation reached 11.1% in October 2022, the highest level in 40 years, driven by rising energy prices, food costs and supply chain disruption following the pandemic and the war in Ukraine. Households faced significant falls in real disposable income, leading the Bank of England to raise interest rates from 0.1% in December 2021 to 5.25% by August 2023 to control demand-pull inflation.

In response, the UK government introduced a series of measures to support households. These included a temporary reduction in fuel duty (an ad valorem tax) by 5p per litre, the Energy Price Guarantee that capped average household energy bills at £2,500, and Cost of Living Payments to low-income households totalling over £37bn between 2022 and 2024. The Bank of England simultaneously used monetary policy to bring inflation back down towards the 2% target.

Figure 2: UK CPI Inflation Rate (%) — 2020 to 2024



The UK government also considered targeted subsidies on energy-efficient products such as heat pumps and home insulation, with the aim of reducing both household bills in the long run and the negative externalities associated with carbon emissions. Some economists argued that direct income support through Universal Credit increases would be more effective in protecting low-income households than broad VAT cuts.

Table 1: Selected UK government support measures (2022–2024)

Measure	Details
Fuel duty cut (ad valorem)	Reduction of 5p per litre — extended to 2024
Energy Price Guarantee	Cap on average household energy bills at £2,500
Cost of Living Payments	£900 per low-income household (2023)
Heat pump grants	£7,500 per household (Boiler Upgrade Scheme)
Universal Credit uprating	10.1% increase (April 2023)

(a) (i) Using a PPF diagram, illustrate the impact of an economic recovery on an economy that produces consumer goods and capital goods. **[2]**

(ii) Using an AD/AS diagram, explain how contractionary monetary policy (line 6) can be used to reduce inflation. **[6]**

(b) Using the data, describe how the proposed heat pump grants and home insulation subsidies could

(i) decrease negative externalities **[4]**

(ii) increase positive externalities **[4]**

(c) Using a demand and supply diagram, consider who benefits the most from a decrease in fuel duty (line 10), the consumer or the firms? **[7]**

(d) Using the data from **Table 1**, discuss whether the proposed government support measures are a good way to protect UK households from the cost of living crisis. **[9]**

(e) Using the data, discuss whether direct income support (such as Cost of Living Payments) or universal subsidies (such as the Energy Price Guarantee) is the best way to reduce poverty in the UK. **[8]**

END OF PAPER